

AQA

GCSE ECONOMICS 8136/2

Paper 2 How the Economy Works

Mark scheme

Predicted Paper – Hard

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

KEY LIST

01	A – An appreciation of the pound	06	C – Tax revenue exceeds government spending by £20 billion
02	C – Investment in retraining programmes	07	A – A fall in the price of UK imports
03	A – An appreciation of the domestic currency	08	B – 4.0%
04	D – A significant cut in income tax rates	09	B – Loss of low-skilled manufacturing jobs
05	C – Tax revenue may fall if tax rates become too high	10	C – Increase, Decrease

Qu	Part	Marking guidance	Total marks
11		State two functions of money.	2
AO1a = 2 Possible answers include: • medium of exchange • store of value • unit of account • means of deferred payment One mark for each correct response.			

Qu	Part	Marking guidance	Total marks
12		Explain what is meant by a progressive tax.	2

AO1 = 2

Marks	Description
2	Complete explanation of a progressive tax.
1	Partial explanation of a progressive tax.
0	Nothing written worthy of credit.

Possible answers include:

- a tax where richer households pay a higher proportion of their income in tax as income rises (2 marks)
- a tax where people with higher incomes pay more tax (1 mark)

Examples (e.g. income tax) may be used to support an answer but, alone, do not constitute understanding.

Qu	Part	Marking guidance	Total marks
13		Explain one role of commercial banks in the UK financial system.	2

AO1 = 2

Marks	Description
2	Complete explanation of one role of commercial banks.
1	Partial explanation of one role of commercial banks.
0	Nothing written worthy of credit.

Possible answers include:

- accepting deposits from savers – providing a safe place to store money
- making loans to households and businesses – channelling funds from savers to borrowers
- providing payment services – enabling transfers via current accounts and debit cards
- credit creation – banks lend out more than they hold in reserves, increasing money supply

Award marks for one role only. Other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
14	1	Using Table 1, calculate the total percentage change in real GDP between 2021 and 2023 to one decimal place.	2
AO2 = 2 Answer: • $(2163 - 2080) / 2080 \times 100 = 3.99... \approx 4.0\%$ (2 marks) • answer not to 1 decimal place but otherwise correct, e.g. 4% (1 mark) • for correct workings but incorrect final answer (1 mark) • award 2 marks for correct answer (4.0%) even if no workings are present.			

Qu	Part	Marking guidance	Total marks
14	2	Explain one possible cause of economic growth.	2

AO1 = 2

Marks	Description
2	Complete explanation of one cause of economic growth.
1	Partial explanation of one cause of economic growth.
0	Nothing written worthy of credit.

Possible answers include:

- increased investment in capital goods, raising productive capacity
- improvements in productivity through new technology
- growth in the labour force – e.g. immigration or rising participation
- improved education and training raising human capital
- rise in aggregate demand (consumer spending, exports etc.)

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
15		Using Figure 1, analyse how contractionary fiscal policy could be used to reduce inflation in the UK.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	0	Nothing written worthy of credit.

Possible answers include:

- raising taxes (e.g. income tax or VAT) reduces households' disposable income, cutting consumer spending
- cutting government spending reduces aggregate demand directly
- lower aggregate demand reduces demand-pull inflationary pressure, helping to move inflation toward target
- reducing a budget deficit may lower inflation expectations, reinforcing the effect
- however, contractionary fiscal policy can reduce economic growth and increase unemployment
- less effective against cost-push inflation (e.g. energy price shocks) which is supply-side in origin
- time lags before the effects are seen in the economy

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
16		State two policies that could be used by a government to reduce negative externalities from production.	2
AO1a = 2 Possible answers include: • taxes on polluting firms (e.g. carbon tax) • regulation/laws (e.g. emissions standards) • tradable pollution permits • subsidies for cleaner alternatives (only credit once) • information campaigns (only credit once) • minimum prices One mark for each correct response. Note: This indicative content is not exhaustive.			

Qu	Part	Marking guidance	Total marks
17		Explain one benefit of low unemployment for the UK government.	2
AO1 = 2			
Marks	Description		
2	Complete explanation of one benefit of low unemployment for the government.		
1	Partial explanation of one benefit of low unemployment for the government.		
0	Nothing written worthy of credit.		
Possible answers include:			
• higher income tax and National Insurance revenues from more people in work			

- lower spending on unemployment-related welfare benefits
- reduced budget deficit and lower government borrowing
- political popularity from delivering key economic objective
- higher VAT revenue due to greater consumer spending

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
18		Explain one role of the Bank of England as 'lender of last resort'.	2

AO1 = 2

Marks	Description
2	Complete explanation of the 'lender of last resort' role.
1	Partial explanation of the 'lender of last resort' role.
0	Nothing written worthy of credit.

Possible answers include:

- the Bank of England lends to commercial banks that face short-term liquidity problems but are otherwise solvent, helping to prevent bank failures and financial instability (2 marks)
- the Bank of England lends money to banks when they need it (1 mark)

Note: Other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
19	1	Using Table 2, calculate the balance of trade in goods. State whether it is in surplus or deficit.	2

AO2 = 2

Answer:

- $342\,000 - 478\,000 = -136\,000$ (£ millions) (1 mark)
- deficit (1 mark)
- award full 2 marks for correct figure and correct identification of deficit.
- award 1 mark for correct figure without stating surplus/deficit, or for stating deficit without correct figure.

Qu	Part	Marking guidance	Total marks
19	2	Explain one possible consequence of a persistent trade deficit for an economy.	2

AO1 = 2

Marks	Description
2	Complete explanation of one consequence of a persistent trade deficit.
1	Partial explanation of one consequence of a persistent trade deficit.
0	Nothing written worthy of credit.

Possible answers include:

- lower aggregate demand and economic growth – imports leak spending out of the economy
- higher unemployment in domestic industries unable to compete with imports
- depreciation of the currency as more of the domestic currency is sold to buy imports
- reliance on capital inflows/foreign borrowing to finance the deficit
- loss of domestic production capacity over time

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
20		On Figure 2, draw and label the effects on the exchange rate of a significant rise in UK interest rates relative to US interest rates.	3
AO2 = 3 Answer: • correct drawing of original equilibrium but no further adjustment (max 1 mark) • a rightward shift in demand for pounds with new equilibrium in addition to original equilibrium (max 2 marks) • a rightward shift in demand (2 marks) – fully labelled showing rise in exchange rate (3 marks) • no further marks for any shift in supply, even if labelled demand. Higher UK interest rates attract foreign capital, raising demand for pounds and causing the pound to appreciate.			

Qu	Part	Marking guidance	Total marks
21		Using Figure 3, assess whether the UK government should prioritise economic growth as its main economic objective.	9

AO2 = 3, AO3 = 6

Level	Marks	Description
3	7–9	A fully justified conclusion with sustained evaluation, which is coherent and relevant, with judgements supported by evidence. A full analysis of the economic evidence, a well-developed and logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; specialist language used throughout.
2	4–6	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. An incomplete analysis of the economic evidence; starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context; specialist language used mostly appropriately.
1	1–3	A basic conclusion or assertion may be present based on evaluative judgements supported by little or no evidence. Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; may use non-specialist language.
0	0	Nothing written worthy of credit.

Possible answers:

Reasons for prioritising economic growth:

- higher real incomes and living standards
- reduced unemployment as output expands
- higher tax revenue supporting public services and deficit reduction
- political and social stability
- growth creates resources to fund environmental and social improvements

Reasons against prioritising economic growth:

- environmental costs, including climate change and resource depletion

- risk of inflation if growth exceeds productive capacity
- rising inequality if gains are not widely shared
- GDP is a narrow measure and does not capture well-being
- may conflict with balance of payments (higher imports during growth)
- other objectives (low inflation, full employment, balance of payments) may take priority in certain circumstances

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
22		Define the term 'inflation'.	2

AO1 = 2

Marks	Description
2	Complete definition of inflation.
1	Partial definition of inflation.
0	Nothing written worthy of credit.

Possible answers include:

- a sustained rise in the general price level of goods and services in an economy over a period of time (2 marks)
- rising prices (1 mark)

Qu	Part	Marking guidance	Total marks
23		Using Table 3 in Item A, calculate the percentage point change in CPI inflation between 2021 and 2022. State whether this represents an increase or a decrease.	3

AO2 = 3

Answer:

- $9.1 - 2.6 = 6.5$ percentage points (2 marks)
- increase (1 mark)
- award 3 marks for correct figure with correct direction.
- award 2 marks for correct figure (6.5 pp) without direction.
- award 1 mark for identifying this is an increase without a correctly calculated figure.

Qu	Part	Marking guidance	Total marks
24		Using Item A, explain two ways the Bank of England could reduce inflation.	6

AO2 = 6

Apply grid twice:

Marks	Description
3	A full and precise explanation applying economic concepts and issues.
2	A partial explanation applying economic concepts and issues but lacking detail.
1	Fragmented points made.
0	Nothing written worthy of credit.

Possible answers include:

- raising interest rates to reduce borrowing and consumer spending, lowering aggregate demand
- quantitative tightening – selling government bonds to reduce the money supply
- raising interest rates to cause the pound to appreciate, reducing import prices
- using forward guidance/communications to influence inflation expectations

Apply grid twice (once for each policy). Note: This indicative content is not exhaustive.

Qu	Part	Marking guidance	Total marks
25		Using Item B, analyse the possible consequences of increased investment by multinational companies for workers in developing economies.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	0	Nothing written worthy of credit.

Possible answers include:

- more job opportunities and higher overall employment in developing economies
- access to training and skills development from operating with advanced technology
- MNCs may pay higher wages than local firms (although often lower than in the home country)
- however, workers may face poor working conditions and long hours
- wages may remain low by international standards and subject to exploitation
- local competitor firms may go out of business, causing job losses
- workers may become dependent on a single employer, increasing vulnerability

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
26		Using Item A and Item B and your own economic knowledge, discuss whether monetary policy is the most effective way to control inflation in the UK.	15
AO2 = 5, AO3 = 10			

Level	Marks	Description
5	13–15	A justified conclusion with sustained evaluation, which is coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.
4	10–12	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning is established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.
3	7–9	A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.
2	4–6	A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.
1	1–3	Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.
0	0	Nothing written worthy of credit.

Possible advantages of monetary policy:

- operates independently of political pressure (Bank of England is independent)
- flexible – interest rates can be changed quickly in response to economic conditions
- directly affects borrowing costs, spending and inflation expectations
- Bank of England has explicit 2% CPI inflation target – strong signalling effect
- affects the exchange rate, influencing import prices

Possible disadvantages of monetary policy:

- ineffective against cost-push inflation caused by supply shocks (e.g. energy prices)
- time lags – effects can take 18 months or more to be fully felt
- high interest rates can cause recessions and rising unemployment
- impacts vary between households – harmful to mortgage holders
- at very low interest rates, further cuts have limited effect (liquidity trap)

Possible alternatives/evaluation:

- fiscal policy (raising taxes, cutting spending) can also reduce demand-pull inflation
- supply-side policies can address cost-push inflation over the long run
- depends on the source of inflation – monetary policy works best for demand-pull
- depends on the state of the economy – effectiveness varies with confidence and expectations
- may work best when combined with other policies
- in recent years, despite aggressive rate hikes, UK inflation only fell slowly (as shown in Table 3)

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.